Inflation Explained

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Introduction to Inflation

Inflation is the general and sustained rise in the prices of goods and services in an economy over a period of time. When inflation occurs, each unit of money buys fewer goods and services than before, which means the purchasing power of money falls. For example, if a cup of tea costs Rs. 10 today and Rs. 11 a year later, with other prices also rising by about 10 percent, the annual inflation rate is about 10 percent. Inflation is measured as a percentage change in a price index over a year. A small, stable amount of inflation, around 2 to 4 percent, is considered normal for a growing economy, but high or unpredictable inflation hurts people, particularly the poor and those with fixed incomes. The opposite of inflation is deflation, which is a fall in the general price level, and disinflation is a slowdown in the rate of inflation, which means prices still rise, but more slowly.

What Is CPI?

CPI stands for Consumer Price Index. It is the main measure of retail inflation, and it tracks the changes in the prices of a fixed "basket" of goods and services that a typical household buys, such as food, clothing, housing, fuel, transport, education, health care and entertainment. Each item in the basket is given a weight according to how much households spend on it. In India, the CPI is released every month by the National Statistics Office (NSO) under the Ministry of Statistics and Programme Implementation (MoSPI), with separate figures for rural, urban and combined, and it has long used a base year of 2012 equals 100, although the base year is updated periodically to match changing consumption patterns. Food and beverages carry the largest weight in India's CPI, about 45 percent in the older series, which is why food prices such as vegetables, onions and tomatoes strongly affect headline inflation. The inflation rate is the percentage change in CPI over the same month of the previous year. The Reserve Bank of India uses CPI inflation as its target, aiming for 4 percent with a tolerance band of 2 to 6 percent. Another measure is the Wholesale Price Index (WPI), which tracks prices at the wholesale level before they reach consumers, published by the Office of the Economic Adviser. The GDP deflator is a broader measure. Core inflation excludes volatile food and fuel prices.

Causes of Inflation

Economists identify several causes. Demand-pull inflation happens when demand for goods and services exceeds supply, so that "too much money chases too few goods", for example, when incomes, credit and government spending rise strongly. Cost-push inflation happens when the cost of production rises, for example from higher prices of crude oil, raw materials, wages or taxes, and producers pass the costs on to consumers. Built-in inflation arises when workers demand higher wages to keep up with rising prices, and firms raise prices to pay for those wages, creating a wage-price spiral. Other causes include an increase in the money supply, supply shocks like a poor monsoon, floods, wars or pandemic disruptions to supply chains, a depreciating currency which makes imports costly, and expectations of higher prices. India's inflation often arises from food supply shocks, global oil prices and the exchange rate.

Types of Inflation

Creeping or mild inflation is a slow rise of up to about 3 percent a year. Walking or moderate inflation is about 3 to 10 percent. Galloping inflation is a rise of double or triple digits a year. Hyperinflation is an extremely rapid, out-of-control rise, usually more than 50 percent a month, as in Germany in 1923, when a loaf of bread cost millions of marks, Zimbabwe in 2008 and Venezuela in the 2010s. Stagflation is a combination of high inflation and slow growth with high unemployment, as in the 1970s oil-shock era.

How Does Inflation Affect Savings?

Inflation reduces the real value of savings. If your money sits in a bank account earning less interest than the inflation rate, your purchasing power shrinks even though the number of rupees remains the same. The real rate of return is approximately the nominal interest rate minus the inflation rate. For example, if a fixed deposit pays 6 percent a year but inflation is 6 percent, the real return is zero, and you can buy no more than before. If inflation is 7 percent, the real return is negative. The effect builds up over time: at 6 percent inflation, Rs. 1,00,000 would have the purchasing power of only about Rs. 31,000 after 20 years, and at 4 percent inflation, about Rs. 45,600. Hence people who hold cash lose, while those with investments that grow faster than inflation, such as equities, real estate and gold over the long term, tend to protect their wealth. Inflation also helps borrowers, since the loan is repaid with money that is worth less, but hurts lenders, pensioners and people on fixed incomes. Rising inflation can reduce consumer spending, create uncertainty for businesses and cause central banks to raise interest rates, which in turn slows growth. Workers feel that their real wages fall if salaries do not keep pace.

Controlling Inflation

Central banks control inflation through monetary policy: raising interest rates such as the repo rate, increasing reserve requirements and reducing money supply when inflation is high. Governments use fiscal policy, such as reducing spending or raising taxes, and supply-side measures, such as importing pulses and onions, releasing buffer stocks of grain, cutting import duties, setting export curbs, and improving storage and transport. The Public Distribution System also helps protect poor households.

Inflation in India

India has experienced several phases of high inflation: during the 1970s oil shocks, when inflation touched about 25 percent in 1974, in 2009 to 2013 when it stayed in double digits for food, and in 2022 when retail inflation rose above 7 percent, peaking at about 7.8 percent in April 2022 due to the war in Ukraine and food prices. Since 2016, with inflation targeting, inflation has been mostly within the target band, and in 2025 it fell to very low levels, including a record low near zero in October 2025, because of falling food prices. Tomato and onion price spikes often make news; in Tamil Nadu, the government runs fair price shops and the "Farm Fresh" outlets to stabilise vegetable prices. The Consumer Price Index for Industrial Workers (CPI-IW) is used to compute dearness allowance for government employees.

Deflation and Why Zero Inflation Is Not the Goal

Falling prices might sound good, but deflation can cause people to delay purchases, hurting business and raising unemployment, as seen in Japan's "lost decades". This is why central banks aim for low but positive inflation.

Challenges and Future

Challenges include volatile food and fuel prices, climate change effects on crops, supply chain shocks and global conflicts. Future approaches include better forecasting, data-driven price monitoring, improved storage and cold chains, and strong inflation expectations management.

Quick Facts

- Inflation is a sustained rise in the general price level that reduces purchasing power.
- CPI (Consumer Price Index) tracks the prices of a basket of goods and services bought by households.
- India's CPI is published monthly by the NSO under MoSPI; the RBI targets 4 percent inflation, plus or minus 2.
- If inflation exceeds the interest rate on savings, the real value of savings falls.
- Hyperinflation occurred in Germany in 1923 and Zimbabwe in 2008.